

MERIDIAN & ASSOCIATES LLP

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Proposal for Global Tax Compliance Services

Precision Manufacturing Corp - RFP #TAX-2025-007

CLIENT CONFIDENTIAL - BLINDED

Version 1.0 | Effective Date: November 2025

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Cover Letter

November 3, 2025

Ms. Catherine Liu, VP of Tax
Precision Manufacturing Corp
8900 Industrial Boulevard
Milwaukee, WI 53224

Dear Ms. Liu,

Meridian & Associates LLP is pleased to submit our proposal in response to RFP #TAX-2025-007 for Global Tax Compliance Services. We understand that Precision Manufacturing Corp seeks a qualified firm to provide comprehensive income tax compliance, tax provision support, and transfer pricing documentation services across your operations in 14 countries.

Meridian's International Tax Practice serves over 200 multinational clients, including 35 in the manufacturing sector. Our integrated global delivery model combines US-based engagement leadership with local tax professionals in each jurisdiction, ensuring both strategic alignment and technical accuracy. We leverage our proprietary tax technology platform, Meridian TaxConnect, to centralize data collection, automate compliance workflows, and provide real-time visibility into the global compliance calendar.

Our proposed engagement partner, James Worthington, JD, LLM, has 20 years of experience in international tax compliance for manufacturing companies, including 8 years managing global compliance programs spanning 20+ jurisdictions.

Sincerely,

James Worthington, JD, LLM
Partner, International Tax Practice
Meridian & Associates LLP
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1. Executive Summary

Precision Manufacturing Corp operates manufacturing facilities, distribution centers, and sales offices across 14 countries: United States, Canada, Mexico, Brazil, United Kingdom, Germany, France, Poland, China, Japan, South Korea, India, Australia, and Singapore. The company's current tax compliance process involves 6 different local accounting firms, creating coordination challenges, inconsistent work quality, and limited global visibility.

Meridian proposes a centralized, technology-enabled approach to global tax compliance that will:

- Consolidate all 14 jurisdictions under a single engagement team with unified quality standards
- Reduce compliance preparation time by an estimated 35% through automation and standardized data collection
- Provide real-time dashboard visibility into filing status, deadlines, and risk areas across all jurisdictions
- Ensure consistent transfer pricing documentation that withstands audit scrutiny in all jurisdictions
- Deliver quarterly ASC 740 tax provision support integrated with the compliance process
- Proactively identify tax planning opportunities arising from the compliance work

Scope of Services

- Federal, state, and local income tax compliance for all US entities (parent corporation and 8 domestic subsidiaries)
- International income tax compliance for 13 foreign subsidiaries in 13 jurisdictions
- Transfer pricing documentation: master file, local files for all jurisdictions, and country-by-country reporting (CbCR)
- Quarterly and annual ASC 740 tax provision support, including rate reconciliation and deferred tax analysis
- Sales and use tax compliance for 42 US state/local jurisdictions (estimated 500+ filings annually)
- VAT/GST compliance for 8 non-US jurisdictions
- Tax calendar management and regulatory monitoring across all jurisdictions

2. Service Delivery Approach

Global Coordination Model

Meridian employs a hub-and-spoke delivery model centered on a US-based Global Tax Coordination team. The coordination team manages the overall compliance calendar, standardizes data requests, performs quality reviews, and serves as Precision's single point of contact. Local compliance preparation is performed by Meridian professionals in each jurisdiction (or by our vetted correspondent firms in three jurisdictions: Brazil, South Korea, and Poland), with all work reviewed by the coordination team before delivery.

Technology Platform: Meridian TaxConnect

TaxConnect is our cloud-based tax compliance management platform that serves as the central hub for the global engagement. Key features include:

- Centralized Data Portal: Standardized data request templates for each jurisdiction, with automated reminders and progress tracking
- Compliance Calendar: Interactive dashboard showing all filing deadlines, extension dates, estimated payment dates, and completion status
- Document Management: Secure repository for all workpapers, returns, and supporting documentation with version control and audit trail
- Analytics Dashboard: Real-time visibility into effective tax rates, cash tax payments, and transfer pricing margins by jurisdiction
- Provision Integration: Seamless data flow between compliance workpapers and ASC 740 provision calculations

Transfer Pricing Documentation

Our transfer pricing team prepares OECD-compliant documentation following the three-tiered approach (master file, local files, and CbCR). We work closely with the compliance team to ensure consistency between transfer pricing policies and reported results. Our benchmarking analyses use multiple databases (BvD Orbis, S&P Capital IQ, RoyaltyStat) and are updated annually to reflect current market conditions.

For Precision's manufacturing operations, we will document intercompany transactions including: finished goods sales between related entities, raw material procurement through the centralized purchasing function, management service fees, royalties for licensed manufacturing processes, and intercompany financing arrangements.

3. Team Qualifications

Engagement Partner: James Worthington, JD, LLM (Tax)

Experience: 20 years in international tax, 8 years managing global compliance programs

Manufacturing Clients: 12 active manufacturing sector clients spanning 50+ jurisdictions

James is a recognized authority in international tax compliance for manufacturing companies. He previously served as VP of Tax at a Fortune 500 manufacturer before joining Meridian, giving him a unique perspective as both advisor and client. He holds a JD from Georgetown University Law Center and an LLM in Taxation from New York University School of Law.

US Tax Director: Sandra Kim, CPA, MST

Experience: 16 years in corporate tax compliance

Sandra oversees all US federal, state, and local income tax compliance. She manages a team of 12 tax professionals and specializes in manufacturing-specific issues including Section 199A deductions, R&D credits, and IC-DISC structures.

International Tax Director: Andrew MacPherson, CPA, CA

Experience: 18 years in international tax, based in London

Andrew coordinates international compliance across all 13 foreign jurisdictions. He is dual-qualified (US CPA and UK Chartered Accountant) and has deep expertise in European tax compliance, BEPS implementation, and Pillar Two global minimum tax requirements.

Transfer Pricing Director: Dr. Elena Vasquez, Ph.D.

Experience: 15 years in transfer pricing, specializing in manufacturing value chains

Elena leads the transfer pricing documentation team. She holds a Ph.D. in Economics from MIT and has successfully defended transfer pricing positions in audits across the US, Germany, China, and India. She has particular expertise in manufacturing cost-plus structures and intangible property arrangements.

4. Relevant Experience

Global Industrial Products Company (16 Countries, \$4.2B Revenue)

Engagement: Global tax compliance, transfer pricing documentation, tax provision support

Duration: 2019 - Present (7 consecutive years)

Meridian provides comprehensive global tax services for this multinational manufacturer of precision components. We consolidated compliance from 8 prior local firms into a single coordinated engagement, reducing total compliance costs by 28% while improving quality and timeliness. Our TaxConnect platform reduced the client's data gathering time by 45%, and our proactive tax planning identified \$12M in cumulative tax savings through supply chain restructuring and R&D credit optimization.

Advanced Materials Corporation (11 Countries, \$2.8B Revenue)

Engagement: International tax compliance and transfer pricing

Duration: 2021 - Present (5 consecutive years)

Meridian manages international compliance and transfer pricing for this specialty materials manufacturer. Notable achievement: successfully defended the client's transfer pricing methodology during simultaneous audits in Germany and China, resulting in no adjustments. Our documentation was cited by the German tax authority as 'thorough and well-supported.'

Heritage Automotive Group (9 Countries, \$6.1B Revenue)

Engagement: Full-scope global tax compliance transition

Duration: 2023 - Present (3 years)

Heritage engaged Meridian to replace their prior Big Four provider, citing dissatisfaction with responsiveness and partner attention. Meridian completed the transition in 90 days without missing a single filing deadline. In the first year, we identified \$4.2M in overpaid state income taxes eligible for refund claims, which had been missed by the prior firm.

5. Fee Proposal

Meridian proposes a fixed annual fee structure organized by service component, providing Precision Manufacturing with complete cost transparency and predictability.

Annual Fee Schedule by Service Component

US Federal Income Tax Compliance (parent + 8 subsidiaries): [REDACTED]

US State and Local Income Tax Compliance (35 state returns): [REDACTED]

International Income Tax Compliance (13 jurisdictions): [REDACTED]

Transfer Pricing Documentation (master file + 13 local files + CbCR): [REDACTED]

ASC 740 Tax Provision Support (quarterly + annual): [REDACTED]

Sales and Use Tax Compliance (500+ filings): [REDACTED]

International VAT/GST Compliance (8 jurisdictions): [REDACTED]

TaxConnect Platform License and Support: [REDACTED]

Total Annual Fee: [REDACTED]

Contract Terms

- Initial term: 3 years with two optional 1-year renewals
- Annual fee escalation: CPI-based, capped at 3%
- Scope adjustments: New jurisdictions or entities added at pre-agreed per-jurisdiction rates
- Out-of-scope services: Tax planning, M&A due diligence, and controversy support billed at standard rates with prior approval
- Service-level commitments: All returns filed a minimum of 5 business days before deadline; provision deliverables within 15 business days of quarter-end